Strategic Management

MIM702 A

Module-wise Detailed Notes

Prof. Soumen Saha

Compiled by Amitendu and Claude

BCA (Honours) – Semester 7
MAKAUT

Syllabus at a Glance

Module	Topic	% of Q&A
1	Strategic Management: An Overview	15%
2	Strategy Formulation	20%
3	Strategy Implementation	15%
4	Strategy Evaluation and Control	25%
5	Business Policies	25%

How to use these notes

Modules 4 and 5 together carry half the marks, so give them the most revision time. Each module ends with a short list of likely exam questions. Definitions are in bold; learn those wording-for-wording because examiners reward them.

Contents

Syllabus at a Glance **1**

Module 1: An Overview of Strategic Management **4**

1.1 Understanding Strategy 4
1.2 Scope and Importance of Strategies 4
1.3 Mission 5
1.4 Vision 5
1.5 Goals 6
1.6 Objectives 6
1.7 Defining and Explaining Strategy 7
1.8 Levels at Which Strategy Operates 8
1.9 Strategic Decision Making 9
1.10 The Process of Strategic Management 10

Module 2: Strategy Formulation **12**

2.1 Environmental Scanning 12
2.2 Internal and External Environmental Analysis 12
2.3 SWOT Analysis 13
2.4 Competition Analysis: Porter's Five Forces 14
2.5 Generic Strategies 15
2.6 Competitive Advantage 16
2.7 Value Chain Analysis 16
2.8 McKinsey's 7S Framework 17
2.9 Balanced Scorecard 18
2.10 BCG Matrix 18
2.11 PESTLE Analysis 19

Module 3: Strategy Implementation **21**

3.1 Organisational Structure 21
3.2 Analysing Strategic Change 22
3.3 Managing Strategic Change 23
3.4 Issues in Strategy Implementation 24
3.5 Behavioural Issues 25
3.5.1 Leadership 25
3.5.2 Corporate Culture 25
3.5.3 Social Responsibility 26

3.5.4 Ethics 27

Module 4: Strategy Evaluation and Control **28**

4.1 Designing a Strategic Control System 28

4.2 Functional Issues in Strategic Evaluation 29

4.2.1 Operational / Production 30

4.2.2 Marketing 30

4.2.3 Financial 30

4.2.4 Human Resource Management 30

4.2.5 Environmental Factors 30

4.3 Information for Strategic Control 30

4.4 Techniques of Strategic Evaluation and Control 31

4.5 Implementing Strategic Control 32

Module 5: Business Policies **34**

5.1 Introduction 34

5.2 Overview of Business Policies 34

5.3 Importance of Business Policies 35

5.4 Definition of Business Policy 35

5.5 Procedure 36

5.6 Process 36

5.7 Types of Policies 37

5.8 Factors Considered Before Framing Policies 38

5.9 Steps Involved in Framing Business Policies 38

Module 1: An Overview of Strategic Management

1.1 Understanding Strategy

The word *strategy* comes from the Greek *strategos*, meaning "general", the art of leading an army. In business it has come to mean the broad, long-term plan by which an organisation decides where it wants to go and how it will get there, using its limited resources against competitors and a changing environment.

A strategy answers three basic questions:

- **Where are we now?** (present position and capabilities)
- **Where do we want to be?** (direction and aims)
- **How will we get there?** (choices about markets, products, resources and competitive approach)

Features of a strategy

- It is **long-term** in outlook and deals with the whole organisation, not one department.
- It involves **major resource commitments** that are costly or hard to reverse.
- It matches the organisation's **strengths to environmental opportunities**.
- It is made in conditions of **uncertainty**, so it cannot be fully programmed.
- It sets **competitive direction** and aims at building advantage over rivals.
- It is **top-management driven**, though it needs participation from every level.

Strategy versus tactics

Basis	Strategy	Tactics
Time horizon	Long-term	Short-term
Level of decision	Top management	Middle and lower management
Scope	Whole organisation	A function or activity
Resources	Large and often irreversible commitment	Smaller, easily adjusted
Nature	Directional, unstructured	Operational, structured
Purpose	Decides *what* to do	Decides *how* to do it

1.2 Scope and Importance of Strategies

Scope

Strategy covers every major area of an organisation:

- Choice of **businesses and markets** to compete in (corporate scope).
- Allocation of **financial, human, technological and physical resources**.
- Design of **structure, systems and culture** to carry the strategy out.
- Handling of **relationships with the environment**: customers, suppliers, competitors, government and society.
- **Growth, stability or retrenchment** decisions over the long run.

Importance

1. **Gives direction.** Everyone knows what the organisation is trying to achieve.
2. **Builds competitive advantage.** It helps the firm do something better or differently from rivals.
3. **Co-ordinates effort.** Functions and divisions pull in the same direction.
4. **Guides resource allocation.** Scarce money, people and time go to priority areas.
5. **Prepares for change.** Environmental scanning lets the firm anticipate threats and opportunities.
6. **Improves decision quality.** Day-to-day decisions are tested against a clear framework.
7. **Provides a basis for control.** Performance can be measured against strategic goals.
8. **Aids survival and growth.** Firms without strategy tend to drift and react.

1.3 Mission

Definition

> A **mission** is a statement of the organisation's fundamental purpose: why it exists, what it does, for whom, and how it is different from others. It describes the present business and its reason for being.

What a good mission statement contains

- **Customers**: who the firm serves.
- **Products or services**: what it offers.
- **Markets**: where it competes.
- **Technology**: how it produces and delivers.
- **Concern for survival, growth and profitability**.
- **Philosophy and values**: beliefs that guide conduct.
- **Self-concept**: its distinctive strength.
- **Public image and concern for employees and society**.

Characteristics

Clear and concise, realistic, distinctive, motivating, and broad enough to allow growth without being vague. It should be reviewed when the business changes materially.

Why it matters

It unifies effort, gives a basis for allocating resources, tells outsiders what the firm stands for, and provides a yardstick for later strategic decisions.

1.4 Vision

Definition

> A **vision** is a picture of the future the organisation wants to create: an inspiring, long-term statement of what it aspires to become.

Where the mission is about the *present* (why we exist), the vision looks *forward* (what we want to become).

Basis	Mission	Vision
Question answered	Why do we exist?	What do we want to become?
Time focus	Present	Future
Nature	Describes purpose and business	Describes aspiration and ideal state
Role	Guides current operations	Inspires and sets long-term direction
Changes	Rarely, when the business changes	Rarely, once a target is achieved

Qualities of a good vision

Inspiring, challenging yet achievable, clear and easy to remember, future-oriented, and shared across the organisation.

1.5 Goals

Definition

> **Goals** are the broad, general, long-term results an organisation wants to achieve in order to fulfil its mission. They are usually qualitative and open-ended.

Example: "To become the market leader in affordable smartphones."

1.6 Objectives

Definition

> **Objectives** are the specific, measurable and time-bound results the organisation aims to reach, and they translate goals into concrete targets.

Example: "To raise market share from 12% to 15% within two years."

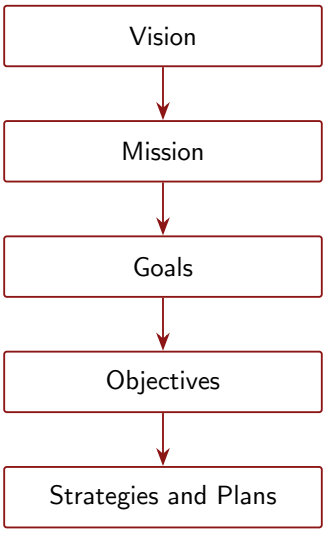
Goals versus objectives

Basis	Goals	Objectives
Nature	Broad and general	Specific and precise
Measurement	Often qualitative	Quantitative and measurable
Time frame	Long-term, open-ended	Short to medium-term, with deadline
Flexibility	Flexible	Rigid targets
Link	Derived from the mission	Derived from goals

Characteristics of good objectives (SMART)

- **S**pecific: clearly stated.
- **M**easurable: can be quantified.
- **A**chievable: realistic given resources.
- **R**elevant: consistent with mission and goals.
- **T**ime-bound: has a deadline.

Hierarchy of strategic intent



1.7 Defining and Explaining Strategy

Different writers define strategy from different angles.

- **Alfred Chandler (1962):** the determination of the basic long-term goals of an enterprise, and the adoption of courses of action and allocation of resources necessary for carrying out those goals.
- **Kenneth Andrews:** the pattern of objectives, purposes and goals, and the major policies and plans for achieving them, stated so as to define what business the company is in or is to be in.
- **Igor Ansoff:** a common thread running between the organisation's activities and its product-markets, defining the nature of business the firm is in or plans to be in.
- **Michael Porter:** the creation of a unique and valuable position involving a different set of activities; choosing what *not* to do is as important as choosing what to do.
- **Henry Mintzberg:** strategy as the "5 Ps": Plan, Ploy, Pattern, Position and Perspective.

Mintzberg's 5 Ps of strategy

P	Meaning
Plan	A consciously intended course of action, a guideline for the future
Ploy	A specific manoeuvre to outwit a competitor (e.g. a threat to expand capacity)
Pattern	Consistency in behaviour over time, even if not planned in advance
Position	Locating the organisation in a particular market or niche
Perspective	The organisation's fundamental way of seeing the world, its culture and ideology

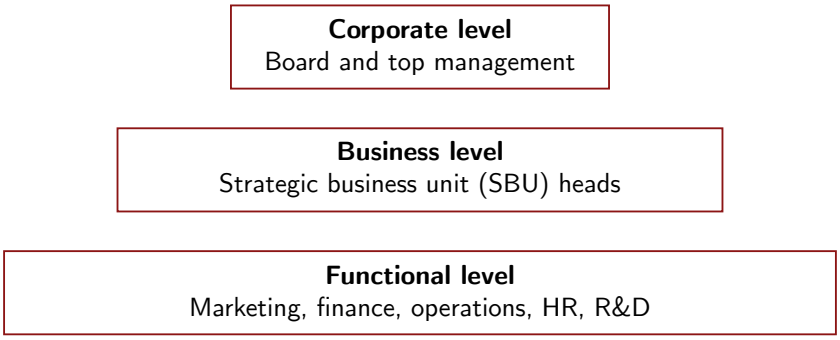
Intended, deliberate, emergent and realised strategy

- **Intended strategy:** what management plans to do.
- **Deliberate strategy:** the part of the intended strategy that is actually carried out.
- **Unrealised strategy:** intended but never implemented.
- **Emergent strategy:** patterns that develop without a prior plan, in response to events.
- **Realised strategy:** what the organisation actually ends up doing (deliberate plus emer-

gent).

1.8 Levels at Which Strategy Operates

Strategy operates at three levels in a multi-business organisation, and each level must support the one above.



(a) Corporate-level strategy

Set by the board and top management. It decides *which businesses the firm should be in* and how to manage the portfolio.

- Concerned with overall scope, diversification, acquisitions, divestment and resource allocation among businesses.
- Typical choices: growth, stability, retrenchment, or a combination.
- Long-term horizon and high risk.

(b) Business-level strategy

Set by the head of a strategic business unit. It decides *how to compete* in a particular industry or market.

- Focuses on competitive advantage: cost leadership, differentiation or focus.
- Covers product-market choices, pricing, positioning and responses to rivals.
- Must fit within the corporate-level direction.

(c) Functional-level strategy

Set by functional managers. It decides *how each function contributes* to the business strategy.

- Marketing, financial, production, HR and R&D strategies.
- Shorter time horizon and more specific, operational in nature.
- Aims at maximising resource productivity.

Basis	Corporate	Business	Functional
Made by	Board, CEO	SBU head	Functional managers
Key question	What businesses to be in?	How to compete?	How to support the business?
Time horizon	Long	Medium	Short
Risk and uncertainty	Highest	Moderate	Lower
Resource scale	Very large	Large	Smaller

1.9 Strategic Decision Making

Definition

Strategic decisions are major choices of long-term consequence that determine the direction, scope and competitive position of the organisation as a whole.

Characteristics of strategic decisions

- They are **top-management** decisions with organisation-wide impact.
- They need **large resource commitment** and are usually **hard to reverse**.
- They are made under **uncertainty** and with incomplete information.
- They have a **long-term effect** on survival and growth.
- They are **future-oriented** and depend on the external environment.
- They carry **high risk**, and can affect many stakeholders.
- They are usually **non-routine and non-programmable**.

Strategic versus operational decisions

Basis	Strategic	Operational
Level	Top management	Lower management
Impact	Whole organisation	A department or task
Frequency	Infrequent, non-routine	Frequent, routine
Uncertainty	High	Low
Time horizon	Long	Short
Reversibility	Difficult	Easy

Approaches to strategic decision making

- **Rational (planning) mode:** systematic analysis of alternatives to choose the best.
- **Entrepreneurial mode:** a bold leader moves quickly on opportunity, common in small or founder-led firms.
- **Adaptive (incremental) mode:** small steps, "muddling through", responding to change.
- **Political mode:** decisions emerge from bargaining and compromise between groups.

Steps in the strategic decision-making process

1. Identify the problem or opportunity.
2. Gather and analyse information about the environment.
3. Set the decision criteria and objectives.
4. Generate alternatives.
5. Evaluate the alternatives against criteria and risk.
6. Choose the best alternative.
7. Implement the decision.
8. Monitor the results and take corrective action.

1.10 The Process of Strategic Management

Definition

Strategic management is the continuous process of analysing the environment, formulating a strategy, implementing it and evaluating its results so that the organisation achieves its objectives and sustains competitive advantage.



The loop from evaluation back to scanning shows that the process is cyclical: results feed fresh analysis and, if needed, a revised strategy.

Stage 1: Establishing vision, mission and objectives

Top management defines the purpose, the aspiration and the measurable targets. All later steps refer back to these.

Stage 2: Environmental scanning

The firm studies the **external environment** (opportunities and threats) and the **internal environment** (strengths and weaknesses). Tools: PESTLE, Porter's Five Forces, SWOT, value chain.

Stage 3: Strategy formulation

Alternatives are generated, evaluated and one is chosen at corporate, business and functional levels. This includes deciding on growth, stability or retrenchment and the generic competitive approach.

Stage 4: Strategy implementation

Strategy becomes action through structure, leadership, culture, resource allocation, systems, policies and programmes, budgets and procedures.

Stage 5: Strategy evaluation and control

Actual performance is compared with targets, deviations are analysed and corrective action is taken. Information from this stage feeds back into planning.

Benefits of the strategic management process

- Better foresight and fewer surprises.
- Clearer direction and co-ordinated action.
- Improved financial and competitive performance.
- Stronger commitment, since people know the aim.

Limitations

- It is costly and time-consuming.
- The environment is unpredictable, so plans can be wrong.
- It can become rigid and bureaucratic.
- Implementation often fails even when the plan is sound.

Likely exam questions

1. Define strategy. Explain its features and importance.
2. Distinguish between mission, vision, goals and objectives.
3. Explain the three levels of strategy with examples.
4. What is strategic decision making? How do strategic decisions differ from operational ones?
5. Explain the process of strategic management with a diagram.

Module 2: Strategy Formulation

Definition

Strategy formulation is the stage of strategic management in which the organisation analyses its environment and resources, generates strategic alternatives, evaluates them and chooses the course of action that best achieves its objectives.

2.1 Environmental Scanning

Definition

Environmental scanning is the continuous process of monitoring, collecting and interpreting information about events, trends and relationships in the organisation's internal and external environment, so that management can detect opportunities and threats early.

Sources of information

Newspapers and journals, trade associations, government publications, customers, suppliers, competitors' reports, market research, the internet, and the firm's own sales force and MIS.

Approaches to scanning

- **Irregular scanning:** done occasionally, in response to a crisis.
- **Periodic scanning:** done at fixed intervals, such as annually.
- **Continuous scanning:** an ongoing, systematic activity, best for fast-changing industries.

Why it matters

- Early warning of threats and early sight of opportunities.
- Better quality of strategic decisions.
- Helps the firm stay in step with change rather than react late.

Environmental scanning process

1. Identify the environmental factors to be watched.
2. Collect information from the sources.
3. Analyse and interpret the information.
4. Forecast likely changes and their impact.
5. Report findings to decision makers.
6. Use them in strategy formulation.

2.2 Internal and External Environmental Analysis

External environment

Everything outside the firm that affects it, split into:

- **Macro (general) environment:** political, economic, social, technological, legal and ecological forces. Analysed with PESTLE.
- **Task (industry) environment:** customers, suppliers, competitors, new entrants, substitutes. Analysed with Porter's Five Forces.

Result: a list of **opportunities** and **threats**.

Internal environment

The resources, capabilities, structure and culture inside the firm. It is assessed by looking at:

- Functional areas: marketing, finance, operations, HR, R&D.
- Resources: tangible (plant, cash), intangible (brand, patents, reputation) and human skills.
- Capabilities and **core competencies**.
- Value chain and past performance.

Result: a list of **strengths** and **weaknesses**.

Core competence

A **core competence** is a bundle of skills and technologies that gives a firm a distinctive edge. Hamel and Prahalad give three tests: it must (i) provide access to a wide variety of markets, (ii) contribute significantly to the customer-perceived benefit, and (iii) be hard for competitors to imitate.

2.3 SWOT Analysis

Definition

SWOT analysis is a framework that matches the internal **S**trengths and **W**eaknesses of a firm with the external **O**pportunities and **T**hreats it faces, in order to shape strategy.

	Helpful	**Harmful**
Internal	**Strengths**: brand, skilled staff, patents, low cost, strong finances	**Weaknesses**: outdated technology, poor distribution, high debt, weak R&D
External	**Opportunities**: new markets, favourable policy, technology change, growing demand	**Threats**: new entrants, price wars, regulation, changing tastes, recession

TOWS matrix (strategies from SWOT)

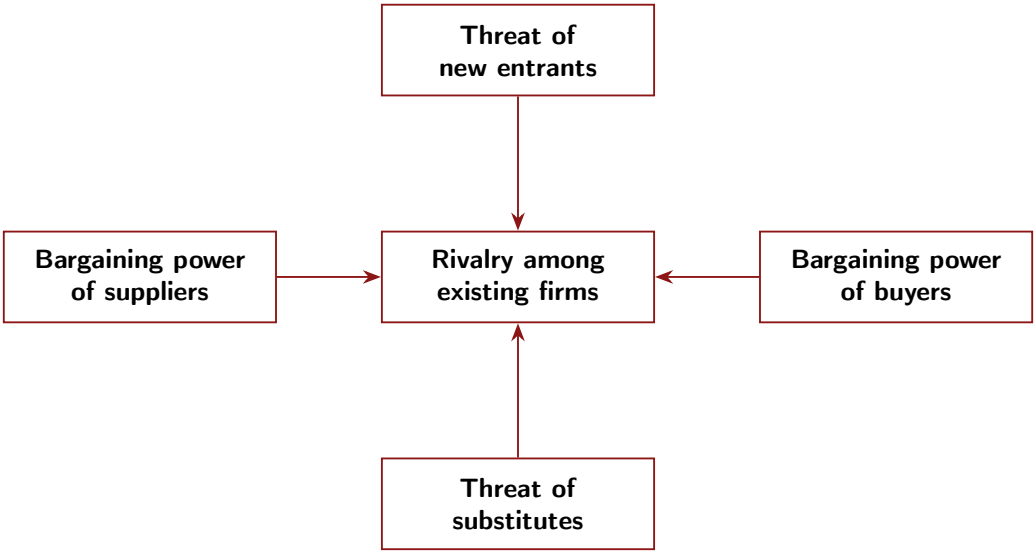
	Opportunities	**Threats**
Strengths	**SO (maxi-maxi):** use strengths to exploit opportunities	**ST (maxi-mini):** use strengths to counter threats
Weaknesses	**WO (mini-maxi):** overcome weaknesses by using opportunities	**WT (mini-mini):** minimise weaknesses and avoid threats; defensive

Merits and limitations

- **Merits:** simple, low cost, forces a balanced view of inside and outside, useful starting point.
- **Limitations:** subjective; gives long lists with no priority; static snapshot; does not say *how* to act.

2.4 Competition Analysis: Porter's Five Forces

Michael Porter (1979) argued that industry profitability is shaped by five competitive forces. The stronger the forces, the lower the profit potential of the industry.



1. Threat of new entrants

New firms bring capacity and a desire for share, so prices and profits fall. The threat is *low* when **entry barriers** are high:

- Economies of scale and the experience curve.
- High capital requirements.
- Product differentiation and brand loyalty.
- Switching costs for customers.
- Access to distribution channels.
- Government policy (licences, regulation).
- Expected retaliation by existing firms.

2. Bargaining power of suppliers

Suppliers are strong when:

- Few suppliers dominate and there are no good substitutes for their input.
- The input is vital or differentiated, and switching costs are high.
- Suppliers can credibly integrate forward into the industry.
- The industry is not an important customer for the supplier.

3. Bargaining power of buyers

Buyers are strong when:

- They buy in large volumes or are concentrated.
- The product is standard and alternatives are many.
- Switching costs are low and they are price sensitive.
- They can integrate backward.

4. Threat of substitutes

Products from other industries that meet the same need cap the prices firms can charge. The threat is high when the substitute offers a better price-performance trade-off and switching is easy (e.g. video calls replacing business travel).

5. Rivalry among existing competitors

Rivalry is intense when:

- There are many firms of similar size.
- Industry growth is slow, so gains come only by taking share.
- Fixed costs or storage costs are high.
- Products are undifferentiated and switching costs are low.
- Exit barriers are high, so weak firms stay in the market.

Use in strategy

Management studies each force, judges whether it is high, medium or low, and then positions the firm where forces are weakest or where it can best defend itself, or tries to influence the forces in its favour. A sixth force, *complementors* (and government), is sometimes added by later writers.

2.5 Generic Strategies

Porter's three **generic strategies** are ways of achieving above-average returns in an industry. A firm must choose one; a firm trying to be everything is "stuck in the middle".

	Cost leadership	**Differentiation**	**Focus**
Idea	Become the lowest-cost producer in the industry	Offer unique features valued by customers, justifying a premium	Serve a narrow segment better than broad competitors
Scope	Broad market	Broad market	Narrow segment
Basis	Scale, tight cost control, efficient processes, favourable sourcing	Quality, brand, design, service, technology	Cost focus or differentiation focus within the niche
Risk	Rivals copy or leapfrog technology; neglect of quality	Imitation; premium too high; customers' tastes change	Niche shrinks or is invaded by broad players
Example	Low-cost airlines, large-volume FMCG	Premium smartphones, luxury cars	Specialist or regional product lines

Requirements

- **Cost leadership:** large investment, process engineering skill, tight supervision, low-cost distribution.
- **Differentiation:** strong marketing, R&D and creativity; reputation for quality; channel co-operation.
- **Focus:** combination of the above, directed at the chosen segment.

2.6 Competitive Advantage

Definition

> **Competitive advantage** is a position in which a firm creates more value for customers than rivals do, and earns superior returns as a result. It must be **valuable, rare, hard to imitate and non-substitutable**.

Sources

- **Cost advantage:** lower unit cost through scale, learning or efficiency.
- **Differentiation advantage:** unique product, brand, service or technology.
- **Resources and capabilities:** patents, skilled people, culture, supplier relationships.
- **Speed and innovation:** first-mover timing and rapid product development.

VRIO test (resource-based view)

A resource gives sustained advantage if it is **V**aluable, **R**are, hard to **I**mitate and the firm is **O**rganised to exploit it.

Sustaining the advantage

Advantage erodes as rivals imitate. Firms keep it by continuous innovation, protecting intellectual property, building switching costs and strengthening relationships.

2.7 Value Chain Analysis

Definition

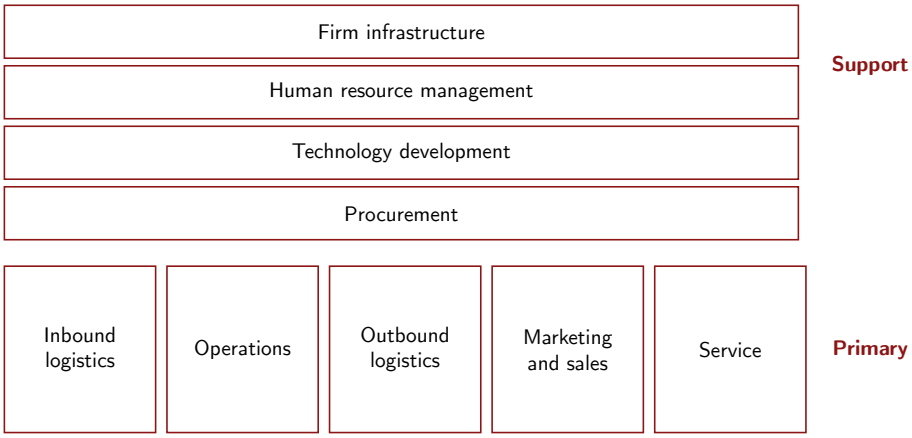
> The **value chain** (Porter, 1985) is a model that divides a firm into the strategically relevant activities by which it creates value, and examines how each activity contributes to cost and differentiation.

Primary activities (directly create and deliver the product)

1. **Inbound logistics:** receiving, storing and handling inputs.
2. **Operations:** converting inputs into the final product.
3. **Outbound logistics:** warehousing and distributing to customers.
4. **Marketing and sales:** advertising, pricing, channels.
5. **Service:** installation, repair, training, after-sales support.

Support activities

1. **Firm infrastructure:** general management, planning, finance, legal, quality.
2. **Human resource management:** recruiting, training, compensation.
3. **Technology development:** R&D, process automation, design.
4. **Procurement:** purchasing of inputs, not the inputs themselves.



Steps in value chain analysis

1. Identify each activity of the firm.
2. Assign costs and assets to each activity.
3. Identify the cost drivers and where value is added.
4. Compare with competitors (benchmarking).
5. Find activities to improve, outsource or redesign.

Margin is the difference between the total value the customer pays and the cost of performing the activities. Linkages *between* activities (and with suppliers' and distributors' chains) are often a richer source of advantage than the activities alone.

2.8 McKinsey's 7S Framework

Developed by Tom Peters and Robert Waterman at McKinsey (1980s) to show that organisational effectiveness comes from the **fit** among seven interdependent elements. Changing one affects all the others.

Type	Element	Meaning
Hard	**Strategy**	Plan to build and sustain advantage
Hard	**Structure**	Organisation chart, reporting lines, division of work
Hard	**Systems**	Procedures, processes and information flows
Soft	**Shared values**	Core values at the centre of the model; the organisation's beliefs
Soft	**Skills**	Distinctive capabilities of the firm
Soft	**Style**	Leadership style and management culture
Soft	**Staff**	People, their numbers, background and development

Uses

Diagnosing why a strategy is not working, aligning the organisation during mergers or restructuring, and checking readiness for change. **Hard** elements are easy to define and change; **soft** elements are harder but often decide success.

2.9 Balanced Scorecard

Definition

> The **Balanced Scorecard** (Kaplan and Norton, 1992) is a performance-management framework that translates strategy into a balanced set of measures across four perspectives, instead of relying on financial results alone.

Perspective	Key question	Typical measures
Financial	How do we look to shareholders?	Revenue growth, profit, ROI, cash flow
Customer	How do customers see us?	Satisfaction, retention, market share, complaints
Internal business process	What must we excel at?	Cycle time, defect rate, productivity, on-time delivery
Learning and growth	Can we keep improving and creating value?	Training hours, employee satisfaction, innovation rate

Features

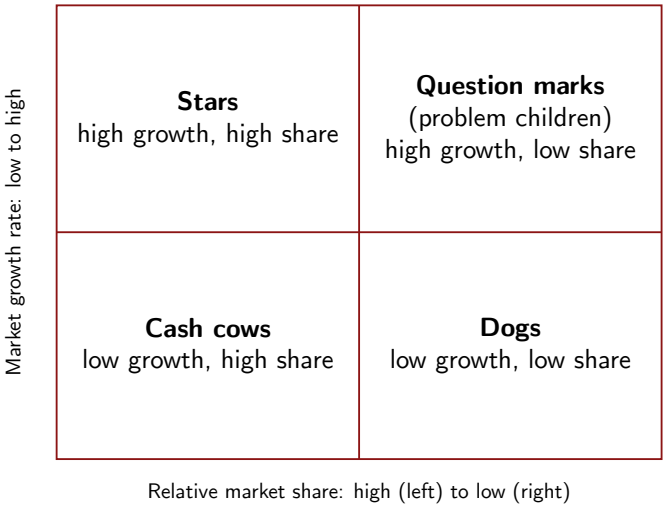
- Links long-term strategy with day-to-day action through cause-and-effect: learning and growth drive processes, which drive customer results, which drive financial results.
- Combines **lead** indicators (drivers) with **lag** indicators (outcomes).
- Each objective has a measure, a target and an initiative.

Benefits and limits

Gives a balanced, strategy-focused view and improves communication. It can be costly to build, and choosing too many measures dilutes focus.

2.10 BCG Matrix

The Boston Consulting Group growth-share matrix is a **portfolio analysis** tool. Each business unit (SBU) is plotted by **relative market share** (horizontal) and **market growth rate** (vertical), and the cash needs and cash generation of the portfolio are balanced.



Category	Characteristics	Cash position	Typical strategy
Stars	Leaders in fast-growing markets	Generate and absorb large cash; roughly self-funding	Invest to hold or build share
Cash cows	Leaders in mature, slow-growth markets	Generate more cash than they need	Harvest, maintain share
Question marks	Low share in high-growth markets	Consume heavy cash, uncertain return	Build selectively or divest
Dogs	Low share in low-growth markets	Break-even at best	Divest or liquidate

Strategic options for any unit

Build (raise share), **hold** (defend share), **harvest** (take cash, accept falling share) or **divest** (sell or close).

The ideal flow

Cash from cash cows funds question marks that can grow into stars; stars later become cash cows as the market matures. Dogs are exited.

Limitations

- Only two variables; share does not always mean profit.
- Market definition is difficult and can change the result.
- Ignores synergies between units and non-financial factors.
- Labelling a unit a "dog" can demotivate the team.

2.11 PESTLE Analysis

Definition

PESTLE analysis scans the macro-environment through six factors: **P**olitical, **E**conomic, **S**ocial, **T**echnological, **L**egal and **E**nvironmental.

Factor	Covers	Examples
Political	Government stability, policies, taxation, trade rules, political risk	Tax changes, subsidies, trade agreements
Economic	Growth, inflation, interest and exchange rates, employment, income levels	Rising interest rates, recession, currency swings
Social	Demographics, culture, lifestyle, attitudes, education	Ageing population, health awareness, urbanisation
Technological	Innovation, automation, R&D, digital change, rate of obsolescence	AI, e-commerce, 5G, automation
Legal	Laws on employment, consumer protection, competition, health and safety, data	Labour codes, data protection law, IP rules
Environmental	Climate, pollution, resource scarcity, sustainability rules	Emission norms, plastic bans, green energy push

How to use it

List the factors, judge their likelihood and impact, rank the important ones, and feed the opportunities and threats into SWOT and strategy choice. Update regularly, because the factors change.

Likely exam questions

1. What is environmental scanning? Explain the SWOT analysis with a diagram.
2. Explain Porter's Five Forces model.
3. Describe Porter's generic strategies with their risks.
4. Explain the value chain and its primary and support activities.
5. Write short notes on: McKinsey's 7S, Balanced Scorecard, BCG matrix, PESTLE.
6. What is competitive advantage? Discuss its sources.

Module 3: Strategy Implementation

Definition

Strategy implementation is the process of turning a chosen strategy into action through structure, resource allocation, systems, leadership and culture, so that planned objectives are actually achieved. It is often called the "action stage" of strategic management.

Formulation is mainly an intellectual, analytical exercise; implementation is an operational, people-centred one. A brilliant strategy fails if it is badly implemented, which is why implementation is often the harder half.

Formulation versus implementation

Basis	Formulation	Implementation
Nature	Positioning forces before action	Managing forces during action
Skills	Analytical, intuitive	Motivational, managerial
Focus	Effectiveness (doing the right thing)	Efficiency (doing it right)
Co-ordination	Few people involved	Many people involved
Main task	Choosing the strategy	Organising, staffing, directing, controlling

3.1 Organisational Structure

Definition

Organisational structure is the formal arrangement of tasks, authority, responsibility and reporting relationships through which the organisation carries out its strategy.

Alfred Chandler's finding: **"structure follows strategy"**. When strategy changes, structure must be adapted, or performance suffers.

Main structural types

1. Simple structure. The owner-manager makes nearly all decisions. Suited to small, single-product firms. Fast and flexible but depends on one person and does not scale.

2. Functional structure. Grouped by function: production, marketing, finance, HR.

- **Advantages:** specialisation, economies of scale, clear career paths, tight control.
- **Disadvantages:** poor co-ordination between functions, narrow outlook, slow response, difficulty in fixing profit responsibility.
- Suited to single-business firms in stable settings.

3. Divisional structure. Grouped by product, geography or customer, each division acting as a profit centre.

- **Advantages:** clear accountability, quick local response, top management freed for strategy, good for growth and diversification.
- **Disadvantages:** duplication of resources, rivalry for funds, loss of scale economies, cost of

corporate overhead.

4. Strategic Business Unit (SBU) structure. Related divisions are grouped into SBUs, each serving a distinct market with its own mission and strategy. It reduces the span of control at the top in large diversified firms.

5. Matrix structure. Employees report to both a functional manager and a project or product manager (dual command).

- **Advantages:** flexible, uses specialists efficiently, good for complex projects.
- **Disadvantages:** confusion over authority, conflict, high overhead, slow decisions.

6. Network and other modern forms. A small core firm outsources most activities to partners. Also: virtual and boundaryless organisations, team-based structures.

Matching structure to strategy

Strategy	Suitable structure
Single product, stable environment	Simple or functional
Related diversification	Divisional or SBU
Unrelated diversification (conglomerate)	Holding company, divisional
Complex projects, rapid change	Matrix or team-based
Global operations	Geographic or global matrix

Other implementation elements

- **Resource allocation:** budgets, people and technology must be matched to strategic priorities.
- **Policies and procedures:** guidelines that make day-to-day decisions consistent with strategy.
- **Systems:** information, reward and control systems that reinforce the intended behaviour.
- **Functional strategies:** marketing, finance, production, HR and R&D plans that carry out the business strategy.

3.2 Analysing Strategic Change

Definition

Strategic change is a significant, organisation-wide alteration in strategy, structure, systems or culture, undertaken in response to environmental shifts or internal needs.

Forces that drive change

- **External:** new technology, competitors' moves, changing customer needs, regulation, economic shifts, globalisation.
- **Internal:** poor performance, new leadership, a change in goals, mergers and acquisitions, employee dissatisfaction.

Types of change

Basis	Type	Meaning
Pace	Incremental (evolutionary)	Small, gradual adjustments over time
	Transformational (revolutionary)	Radical, rapid shift in direction or core features
Timing	Reactive	Response after the force has appeared
	Proactive (anticipatory)	Action before the pressure is felt
Scope	Planned	Deliberately designed and managed
	Unplanned	Forced by events

Analysing the change

Before acting, managers should analyse:

1. **What** needs to change (strategy, structure, technology, people, culture).
2. **Why**: the driving forces and the gap between present and desired state.
3. **How big**: scope, depth and urgency.
4. **Who** will be affected and likely reactions.
5. **Capability**: resources and readiness of the organisation.

Lewin's force-field analysis

Kurt Lewin saw any situation as a balance between **driving forces** (pushing for change) and **restraining forces** (resisting it). Change happens when driving forces are strengthened or restraining forces are weakened. The restraining forces are normally the easier ones to work on.

Lewin's three-step model

1. **Unfreezing:** create awareness of the need for change and loosen existing habits.
2. **Changing (moving):** introduce new behaviours, structures and processes.
3. **Refreezing:** stabilise the new state through rewards, policies and culture.

3.3 Managing Strategic Change

Resistance to change

- **Individual causes:** fear of the unknown, loss of status or job security, habit, economic worries, selective perception.
- **Organisational causes:** structural inertia, threat to power and resources, past commitments, sunk costs, group norms, poor timing.

Kotter–Schlesinger methods of overcoming resistance

Method	Use when	Drawback
Education and communication	Lack of information or analysis	Time consuming
Participation and involvement	Initiators lack information; others have power to resist	Slow, risk of poor solutions
Facilitation and support	Resistance from adjustment problems	Costly, may fail
Negotiation and agreement	A group will clearly lose	Can be expensive
Manipulation and co-optation	Other tactics fail or are too costly	Can create distrust
Explicit and implicit coercion	Speed is essential and the initiator has power	Resentment

Kotter's eight steps for leading change

1. Create a sense of urgency.
2. Form a powerful guiding coalition.
3. Create a vision for change.
4. Communicate the vision.
5. Empower others to act (remove obstacles).
6. Plan for and create short-term wins.
7. Consolidate gains and produce more change.
8. Anchor the new approach in the culture.

Role of the change agent

A change agent (a leader, consultant or internal team) diagnoses the problem, designs the change, builds support, trains people, monitors progress and institutionalises the change.

3.4 Issues in Strategy Implementation

- **Weak link between strategy and structure:** an old structure cannot carry a new strategy.
- **Resource shortage or misallocation:** money, skills or time not matched to priorities.
- **Poor communication:** staff do not understand what is expected, so effort is scattered.
- **Lack of commitment and ownership:** strategy imposed from the top with no involvement below.
- **Resistance to change:** fear, habit and vested interests.
- **Inadequate leadership:** no vision, weak drive, little follow-through.
- **Culture mismatch:** existing values contradict the new strategy.
- **Ineffective systems:** reward, information and control systems that reward the wrong behaviour.
- **Unclear responsibilities:** no one is accountable for results.
- **Time and unforeseen problems:** implementation takes longer and goes wrong more often than expected.
- **Weak middle management:** the people who must translate strategy are not trained or

involved.

3.5 Behavioural Issues

Even a well-structured plan needs the right behaviours. The main behavioural factors are leadership, corporate culture, social responsibility and ethics.

3.5.1 Leadership

Definition

Leadership is the ability to influence and motivate people to willingly work toward the organisation's goals.

Role of leadership in implementation

- Communicates the vision and builds commitment.
- Chooses and develops the right people for key positions.
- Shapes structure, systems and culture to fit strategy.
- Allocates resources and settles conflict.
- Sets the example, since people watch what leaders do rather than what they say.
- Handles change and resistance.

Leadership styles

Style	Features
Autocratic	Leader decides alone; fast but lowers participation and morale
Democratic (participative)	Decisions shared with the team; slower but builds commitment
Laissez-faire	Leader gives freedom; works with skilled, self-motivated staff
Transactional	Rewards and penalties in exchange for performance; maintains the status quo
Transformational	Inspires followers with vision and challenges them to exceed expectations; best for strategic change

Strategic leaders

Strategic leaders such as the CEO and top team set direction, manage the organisation's core competencies, sustain an effective culture, emphasise ethical practice and establish balanced controls.

3.5.2 Corporate Culture

Definition

Corporate culture is the shared set of values, beliefs, norms, symbols and habits that shape how people in an organisation think and behave. It is often summarised as "the way we do things here".

Elements of culture

Values and beliefs, norms, stories and myths, rituals and ceremonies, symbols, language, dress and office layout, heroes.

Types of culture (Handy and others)

- **Power culture:** control from the centre; fast, depends on the leader.
- **Role culture:** rules and procedures; stable and predictable, slow to change.
- **Task culture:** teams formed for specific tasks; flexible and results-driven.
- **Person culture:** the individual comes first; typical of professional partnerships.

Culture and strategy

- A **supportive** culture makes implementation easy and speeds acceptance.
- A **conflicting** culture creates resistance. Either the strategy must change, or the culture must be changed (slow and difficult).
- Culture is changed through leadership example, new heroes and stories, revised reward systems, training, and changes in structure and recruitment.
- Strong culture gives cohesion and identity; a very rigid one can block adaptation.

3.5.3 Social Responsibility

Definition

> **Social responsibility** is an organisation's obligation to act in ways that serve the interests of society and all stakeholders, not only shareholders, and to avoid harm to the community and environment.

Arguments for

- Improves public image and customer loyalty.
- Long-term profit benefit and licence to operate.
- Avoids heavier government regulation.
- Attracts and retains talent and investors.
- Society provides the firm's resources, so the firm owes something in return.

Arguments against

- Reduces profit and distracts from the main business.
- Costs may be passed on to customers.
- Managers lack social skills and expertise.
- Dilutes accountability to shareholders.

Dimensions of responsibility (Carroll's pyramid)

1. **Economic:** be profitable.
2. **Legal:** obey the law.
3. **Ethical:** do what is right, fair and just.
4. **Philanthropic:** contribute to the community.

Stakeholders and the triple bottom line

Stakeholders include shareholders, employees, customers, suppliers, government, community and creditors. The **triple bottom line** measures performance on *people, planet and profit.* In India, Section 135 of the Companies Act, 2013 requires qualifying companies to spend a share of their average net profit on CSR activities.

3.5.4 Ethics

Definition

Business ethics are the moral principles and standards that guide behaviour in business, telling managers what is right and wrong beyond what the law requires.

Why ethics matter in strategy

- Builds trust with customers, employees and investors.
- Protects reputation, which takes years to build and moments to lose.
- Reduces legal risk and the cost of scandals.
- Guides decisions where the law is silent.

Ethical issues in business

Bribery and corruption, misleading advertising, insider trading, product safety, discrimination and harassment, environmental damage, child labour, and misuse of customer data.

Promoting ethical behaviour

- A written **code of ethics** and clear policies.
- **Top-management example**.
- Ethics training and open communication.
- Whistle-blower protection and ethics committees.
- Rewards for ethical conduct; penalties for violations.
- Ethical audits.

Likely exam questions

1. What is strategy implementation? Why is it difficult?
2. Explain the different types of organisational structure and their suitability.
3. How is strategic change analysed and managed? Explain resistance to change and how to overcome it.
4. Discuss the problems faced in implementing a strategy.
5. Explain the role of leadership and corporate culture in implementation.
6. Write short notes on: social responsibility, business ethics.

Module 4: Strategy Evaluation and Control

Definition

Strategy evaluation and control is the final stage of strategic management, in which actual performance is compared with planned objectives, deviations are analysed, and corrective action is taken so that the strategy stays effective as conditions change.

Why evaluation is needed

- Today's success does not guarantee tomorrow's; internal and external conditions keep changing.
- Assumptions made during formulation may prove wrong.
- It reveals whether the strategy is being implemented as intended.
- It gives the basis for feedback, learning and renewal of the strategy.

Basic activities

1. Examine the underlying bases of the strategy (internal and external factors).
2. Compare expected results with actual results.
3. Take corrective action so that performance matches plan.

Criteria for evaluating a strategy (Rumelt)

- **Consistency:** it must not present mutually inconsistent goals and policies.
- **Consonance:** it must respond to the external environment and its changes.
- **Advantage:** it must create or maintain competitive advantage.
- **Feasibility:** it must be doable within available resources, without creating unsolvable problems.

4.1 Designing a Strategic Control System

Definition

Strategic control is the process of monitoring the strategy as it is carried out, testing whether it is still on track, and making adjustments, concentrating on the long-term direction rather than only on routine operations.

Strategic control versus operational control

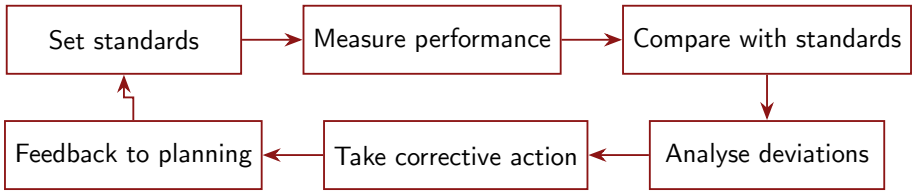
Basis	Strategic control	Operational control
Focus	Whether the strategy remains valid	Whether activities are on schedule and on budget
Time horizon	Long term	Short term
Environment	Scans the external environment	Concentrates on internal operations
Done by	Top management	Middle and lower management
Information	Qualitative and quantitative, uncertain	Mostly quantitative, factual
Question asked	Are we doing the right things?	Are we doing things right?

Types of strategic control

1. **Premise control:** regularly checks whether the assumptions on which the strategy is based (about the economy, competitors, technology, demand) still hold.
2. **Implementation control:** assesses whether the strategy's key actions, milestones and resource commitments are proceeding as planned, and whether to continue or change them.
3. **Strategic surveillance:** broad, loosely structured monitoring of many sources to catch events that could affect the strategy.
4. **Special alert control:** a quick, intense reassessment triggered by a sudden unforeseen event (a competitor's merger, a natural disaster, a regulatory shock).

Steps in designing a control system

1. **Set standards:** derive targets from objectives (financial, market, productivity, quality, customer).
2. **Identify key performance areas and indicators** to measure.
3. **Measure actual performance** with reliable information.
4. **Compare** actual with standard and find deviations.
5. **Analyse causes** of significant deviations.
6. **Take corrective action:** change the strategy, change the implementation, or revise the standard.
7. **Feed back** lessons into the next planning cycle.



Characteristics of an effective control system

- **Accurate and objective**; based on valid information.
- **Timely**: reports reach managers while action can still be taken.
- **Simple and understandable**.
- **Economical**: cost of control must be below the benefit.
- **Flexible**: can be adapted to changing plans.
- **Meaningful and selective**: focuses on key results (management by exception).
- **Strategy-linked**: measures what matters to the strategy.
- **Acceptable** to those controlled, and encourages self-control.
- Points to **corrective action**, not merely deviation.

Barriers to effective control

Resistance to measurement, information that arrives late or is inaccurate, short-term bias, focus on easily measured but unimportant items, weak links to rewards, and unclear responsibility.

4.2 Functional Issues in Strategic Evaluation

Strategy succeeds only if each function supports it. Evaluation therefore checks the performance and fit of each functional area.

4.2.1 Operational / Production

- **Key measures:** capacity utilisation, productivity, unit cost, quality (defect and rejection rates), delivery time, inventory turnover, downtime.
- **Issues:** plant location and layout, make-or-buy, technology choice, scheduling, quality standards (TQM, Six Sigma), supply chain reliability, cost control, flexibility.
- **Questions:** Is capacity matched to demand? Are costs competitive? Is quality consistent? Does operations support the chosen generic strategy?

4.2.2 Marketing

- **Key measures:** sales growth, market share, customer satisfaction and retention, brand awareness, price realisation, distribution reach, cost of acquiring customers.
- **Issues:** segmentation, targeting and positioning; product mix and life cycle; pricing; promotion; channels; new product success.
- **Questions:** Are we reaching the right customers? Is the marketing mix consistent with the strategy? Which products add the most profit?

4.2.3 Financial

- **Key measures:**
  - *Profitability:* return on investment, return on equity, profit margins.
  - *Liquidity:* current ratio, quick ratio, working capital.
  - *Leverage:* debt–equity ratio, interest coverage.
  - *Activity:* inventory, debtors and asset turnover.
  - *Growth and market:* sales and profit growth, earnings per share, price–earnings ratio.
- **Issues:** capital structure, capital budgeting, dividend policy, working capital management, cost of capital, budgeting and variance analysis, economic value added.
- **Questions:** Does the strategy create value? Can the financing be sustained? Are budgets being met?

4.2.4 Human Resource Management

- **Key measures:** employee turnover, absenteeism, productivity per employee, training hours, satisfaction scores, grievance and industrial relations record, skill gaps.
- **Issues:** manpower planning, recruitment and selection, training and development, appraisal and rewards, motivation, labour relations, succession planning.
- **Questions:** Does the firm have the skills the strategy needs? Is the reward system consistent with strategic goals?

4.2.5 Environmental Factors

- **What is checked:** changes in the external environment (economic, political, technological, social, legal, competitive and ecological) that may affect the strategy's validity.
- **Issues:** new competitors or substitutes, regulation, shifting consumer tastes, technology disruption, environmental and sustainability norms.
- **Link:** this is the basis of premise control and special alert control. If the environment has changed materially, the strategy may need revision.

4.3 Information for Strategic Control

Strategic control is only as good as the information behind it.

Types of information needed

- **Internal:** financial statements, budgets, sales and production reports, cost data, HR data, customer complaints.
- **External:** industry data, competitor moves, economic indicators, market research, regulatory changes, technology trends.
- **Quantitative and qualitative:** figures plus judgement on customer attitudes, morale and reputation.
- **Past, present and forward-looking** information.

Qualities of good control information

Relevant, accurate, timely, complete but not excessive, consistent, understandable, and cost-effective.

Sources and systems

- Management Information System (MIS), Decision Support Systems (DSS) and Executive Information Systems.
- Enterprise Resource Planning (ERP) and data warehouses.
- Formal reports, audits and review meetings.
- Informal sources: field visits, customer and supplier contact, employee feedback.

Problems

Information overload, delays, distortion as it passes upward, inconsistent definitions across units, and a bias toward easily measured numbers.

4.4 Techniques of Strategic Evaluation and Control

1. Financial analysis

Ratio analysis (profitability, liquidity, leverage, activity), **trend and comparative statements**, **budgetary control** and **variance analysis**, **break-even analysis**, and **economic value added (EVA)**.

2. Budgetary control

Budgets express plans in numbers; actual results are compared with the budget, and variances are investigated. **Zero-based budgeting** makes each department justify every item afresh, and **flexible budgets** adjust to the actual level of activity.

3. Balanced Scorecard

Tracks financial, customer, internal process and learning-and-growth measures together (see Module 2).

4. Benchmarking

Comparing the firm's processes and performance with the best in the industry (or best in class elsewhere) to find gaps and ideas for improvement.

5. Management by Objectives (MBO)

Superiors and subordinates agree on objectives, and performance is reviewed against them. It links individual targets with strategic goals.

6. Management audit and strategic audit

A systematic, independent review of the whole management system and the quality of strategic decisions, covering mission, environment, strategy, structure and results.

7. Network techniques: PERT and CPM

Used to plan and control the time and cost of projects and strategic programmes, identify the critical path and flag delays early.

8. Return on investment (ROI) and Du Pont analysis

ROI measures the return generated on capital employed; Du Pont analysis breaks it down into margin and asset turnover to locate the cause of weak return.

9. Management Information System based control

Dashboards and exception reports on key variables, based on regular MIS output.

10. Quality and process tools

Total Quality Management, Six Sigma, ISO standards and Kaizen for control of operations quality.

11. Strategic evaluation by SWOT, gap analysis and scenario planning

Re-running SWOT and PESTLE, measuring the gap between targets and actual position, and testing strategy against alternative scenarios.

Techniques compared

Technique	Mainly used for	Strength
Ratio analysis	Financial health	Easy comparison over time and with rivals
Budgetary control	Cost and activity control	Clear targets and accountability
Balanced Scorecard	Overall strategic performance	Balanced, strategy-linked view
Benchmarking	Finding performance gaps	Learns from the best
MBO	Linking individual and strategic goals	Motivation and clarity
PERT/CPM	Projects and programmes	Controls time and cost
Strategic audit	Whole-strategy review	Comprehensive, independent

4.5 Implementing Strategic Control

Practical steps

1. **Assign responsibility.** Define who monitors which strategic variables and who acts on deviations.
2. **Identify strategic control points:** the few critical success factors, assumptions and milestones.
3. **Set standards and targets** with time limits.
4. **Build the information system** and reporting schedule.
5. **Monitor regularly:** use premise and implementation control, with special alert triggers

ready.

6. **Evaluate performance** against standards.
7. **Decide the response:**
   - Continue unchanged if performance is on target.
   - Adjust implementation (resources, structure, schedule).
   - Revise the strategy or objectives if assumptions no longer hold.
   - Revise the standard if it was unrealistic.
8. **Reward and reinforce** results; link rewards with strategic performance.
9. **Review the control system itself** periodically.

Making control effective

- Involve those being controlled and encourage self-control.
- Keep it focused on a few key measures; use management by exception.
- Combine feedback control (after the event) with **feedforward control** (before the event, anticipating problems) and concurrent control (during the activity).
- Keep it flexible so that it supports learning rather than punishing.

Corrective action options

Re-allocate resources, change the structure or personnel, alter policies or procedures, retrain staff, adopt new technology, modify objectives, or switch to a different strategy (stability, expansion or retrenchment).

Likely exam questions

1. What is strategic control? How does it differ from operational control?
2. Explain the types of strategic control (premise, implementation, surveillance, special alert).
3. Describe the steps in designing a strategic control system.
4. Explain functional issues in strategic evaluation: operations, marketing, finance, HR.
5. What information is needed for strategic control?
6. Discuss the techniques of strategic evaluation and control.
7. How is strategic control implemented?

Module 5: Business Policies

5.1 Introduction

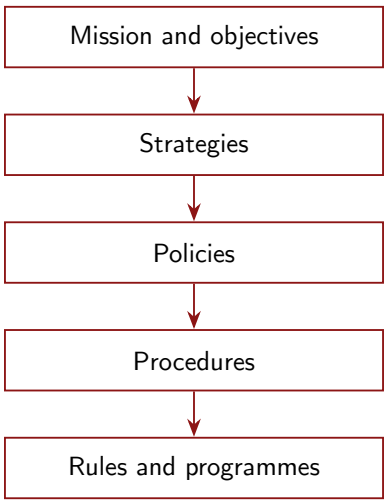
Strategy sets the broad direction of an organisation, but strategy alone cannot guide the thousands of daily decisions managers must make. **Policies** fill that gap. They are standing guidelines that tell managers how to decide and act in recurring situations, so that actions across the organisation are consistent with objectives and strategy.

Business policy, as a subject, studies how top management formulates policies and strategies and integrates the functional areas of the firm to achieve overall objectives. It is a capstone, integrative subject that draws on marketing, finance, production, HR and general management.

5.2 Overview of Business Policies

- Policies are derived from **objectives and strategy**, and in turn guide **procedures and rules**.
- They are framed at the top and interpreted at lower levels; the lower the level, the more detailed they become.
- They allow **delegation**: managers can decide within the limits set by policy without referring every case upward.
- They provide **consistency** over time and across units.
- They are flexible and can be reviewed when the environment changes.

Hierarchy of plans



Policy compared with strategy, procedure and rule

Basis	Strategy	Policy	Procedure / Rule
Nature	Plan for achieving objectives	Guide to thinking and decisions	Step-by-step method or fixed action
Flexibility	Flexible	Allows discretion within limits	Rigid, no discretion (rule)
Level	Top management	Top and middle management	Middle and lower management
Time	Long term	Medium to long term, recurring	Short term, routine
Focus	Competitive position and direction	Consistency of decisions	Uniform execution

5.3 Importance of Business Policies

1. **Provide direction and guidance** to managers for repetitive decisions.
2. **Ensure uniformity and consistency** of action across departments and over time.
3. **Save time and effort**: routine questions are settled in advance.
4. **Enable delegation** of authority within clear limits.
5. **Co-ordinate** the activities of different functions toward common objectives.
6. **Support control**: policies set a standard against which behaviour can be judged.
7. **Ensure fairness** in dealing with employees, customers and suppliers.
8. **Build confidence and a stable image** among stakeholders.
9. **Link strategy with operations** by translating broad plans into everyday action.
10. **Speed up decision making** and reduce errors.
11. **Develop managers** by training them to decide within a framework.

5.4 Definition of Business Policy

Definitions

- A **business policy** is a general statement or understanding that guides or channels the thinking, decisions and actions of managers in the pursuit of organisational objectives.
- **Koontz and O'Donnell:** policies are general statements or understandings which guide or channel thinking in decision-making of subordinates.
- **George R. Terry:** a policy is a verbal, written or implied overall guide setting up boundaries that supply the general limits and direction in which managerial action will take place.
- **Business policy** as a subject: the study of the functions and responsibilities of senior management, the crucial problems affecting success in the total enterprise, and the decisions that determine the direction and character of the organisation.

Features of a policy

- It is a **general guide** to decision making, not a command for one situation.
- It is **framed by top management** within the objectives and strategy.
- It is **repetitive**: it applies to recurring situations.
- It leaves **room for discretion**.

- It is **forward-looking** and relatively stable, though it can be revised.
- It may be **written, oral or implied**.
- It must be **consistent** with other policies and with the law.

Characteristics of a good policy

Clear and precise, consistent with objectives, stable yet flexible, reasonable and practical, uniformly applicable, understandable to all, ethical and legal, and open to periodic review.

5.5 Procedure

Definition

A **procedure** is a series of related steps or tasks to be followed in a fixed chronological order to carry out a specific, recurring activity. It tells *how* an action is to be performed.

- Procedures **implement policies**: the policy says what to aim at; the procedure shows how to do it.
- Example: a policy of "recruit the best qualified candidates" is supported by a recruitment procedure (advertisement, application, screening, test, interview, selection, offer, joining).
- Procedures bring **uniformity, speed and fewer errors**, and make training and control easier.
- They allow little or no discretion, and are narrower than policies.

5.6 Process

Definition

A **process** is the complete sequence of interrelated activities by which inputs are converted into outputs. In the context of business policy, the **policy process** is the overall course of formulating, communicating, applying, and reviewing policies.

Process of business policy making

1. Setting the objectives and defining the problem areas that need guidance.
2. Collecting and analysing information (internal and external).
3. Preparing alternative policy statements.
4. Evaluating alternatives against objectives, resources and constraints.
5. Choosing and approving the policy at the proper level.
6. Communicating it clearly to all affected.
7. Implementing it through procedures, rules and programmes.
8. Monitoring results and reviewing or revising it.

Process versus procedure

Basis	Process	Procedure
Meaning	Overall flow of activities converting inputs to outputs	Prescribed steps for one specific task
Scope	Broad, cross-functional	Narrow, specific
Question	What happens from start to finish?	How exactly is the task to be done?
Flexibility	Can be redesigned and improved	Fixed order of steps

5.7 Types of Policies

A. Based on source or origin

- **Originated policies:** formulated deliberately by top management for the guidance of subordinates.
- **Appealed policies:** arise when subordinates face a case not covered by existing policy and appeal to a superior; the decision then becomes a guide.
- **Implied policies:** not stated but inferred from the behaviour and decisions of managers (e.g. promotion only from within).
- **Imposed policies:** forced on the firm from outside by government, trade unions, associations or financial institutions.

B. Based on function

- **Production policy:** location, capacity, make or buy, quality standards, inventory and technology.
- **Marketing policy:** product line, pricing, channels, promotion, credit terms, after-sales service.
- **Financial policy:** capital structure, sources of funds, dividend, investment, working capital.
- **Personnel (HR) policy:** recruitment, training, pay, promotion, transfer, grievance handling, welfare.
- **Purchase policy:** sourcing, vendor selection, quantity and stock levels.
- **Research and development policy:** spending on R&D, innovation, patents.

C. Based on level or scope

- **Basic (general or corporate) policies:** broad, framed by top management for the whole enterprise.
- **General (departmental) policies:** framed by middle management for a department or function.
- **Specific (operating) policies:** detailed guides for supervisors and operational staff in a particular activity.

D. Based on form

- **Written policies:** documented in manuals; clear, uniform and easy to communicate.
- **Oral policies:** communicated verbally; flexible but open to misunderstanding.
- **Implied policies:** inferred from conduct.

E. Based on time

- **Long-term (permanent) policies:** stable, in force for years.
- **Short-term (temporary) policies:** adopted for a limited period or situation.

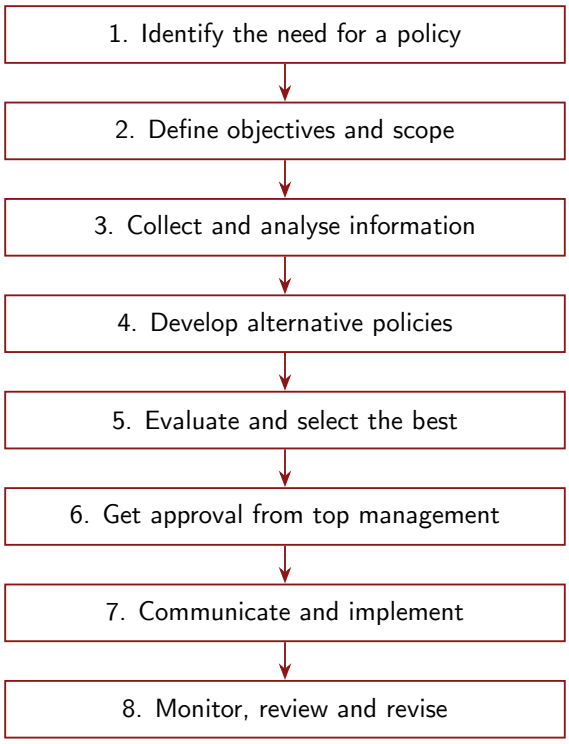
F. Based on coverage

- **Company-wide (organisational) policies:** apply to the whole enterprise.
- **Departmental policies:** apply to one department only.

5.8 Factors Considered Before Framing Policies

1. **Organisational objectives and strategy:** policies must support them.
2. **Mission, vision and values** of the organisation.
3. **External environment:** economic conditions, competitors' behaviour, technology and market trends.
4. **Government rules and laws:** labour laws, company law, taxation, consumer protection and industry regulation.
5. **Internal resources and capabilities:** finance, people, technology and facilities.
6. **Existing policies:** new ones should be consistent with, and not conflict with, current ones.
7. **Size, nature and stage of the business.**
8. **Top management's philosophy** and the existing culture.
9. **Interests of stakeholders:** owners, employees, customers, suppliers and society.
10. **Past experience:** lessons from earlier policy and its results.
11. **Flexibility needed** and the possibility of future change.
12. **Cost and feasibility:** the policy must be practical and affordable to apply.
13. **Social and ethical considerations.**
14. **Ease of communication and understanding** by those who must apply it.

5.9 Steps Involved in Framing Business Policies



1. **Identify the need.** Spot a recurring situation, a gap in guidance, a new strategy, a legal change or a problem raised by subordinates.
2. **Define objectives and scope.** Decide what the policy should achieve, which activities and levels it covers, and what limits apply.
3. **Collect and analyse information.** Gather facts on the environment, laws, resources, past experience and the views of those affected.
4. **Develop alternatives.** Draft more than one possible policy statement.
5. **Evaluate and select.** Test alternatives against objectives, consistency with other policies,

cost, feasibility, ethics and stakeholder impact, then choose the best.

6. **Approval.** Obtain sanction from the competent authority (board, CEO or the relevant executive).
7. **Communicate and implement.** State it clearly, preferably in writing, explain the reasons, train staff, and support it with procedures and rules.
8. **Monitor, review and revise.** Check whether it is working, collect feedback, and amend or withdraw it when conditions change.

Why policies fail

- Vague or conflicting statements.
- Poor communication, so people do not know of them.
- Not reviewed after the environment changes.
- Framed without consulting those who must apply them.
- Applied inconsistently or unfairly.

Business policy and strategy: the link

Strategy decides *what direction* to take and *how to compete*; policy turns that direction into repeatable guidance for decisions; procedures and rules turn policy into daily action. Evaluation of results then feeds back into revising all three.

Likely exam questions

1. Define business policy. Explain its importance and features.
2. Distinguish between strategy, policy and procedure.
3. Explain the different types of business policies.
4. What factors should be considered before framing policies?
5. Explain the steps involved in framing business policies.
6. Write short notes on: originated, appealed, implied and imposed policies; procedure; process.